

Table of content

CHAPTER 1 Consumer Theory	15
1.1 Consumer Preferences	15
1.2 Well-Behaved Preferences	18
1.3 Indifference Curves	21
1.4 Budget Constraint	24
1.5 Utility Functions	30
1.6 Utility Maximization	32
1.7 Choice	37
1.8 Deriving the Demand Curve	40
1.9 Consumer Surplus	42
1.10 The idea of revealed preference	44
CHAPTER 2 Goods classifications	52
2.1 Elasticity computation	52

Normal and Inferior Goods	56
Giffen Goods	58
Substitutes and Complements	59
2.2 The Price and Income	60
2.3 Offer Curves	62
2.4 Engel curve	65
2.5 The Inverse Demand Function	69
CHAPTER 3 Price Effects	79
3.1 Substitution Effect	79
3.2 Income effect	82
3.3 Sign of Substitution Effect	84
3.4 Total Change in Demand	87
3.5 Rates of Change	89
3.6 Law of demand	92

3.7 Compensating Demand Curves	94
CHAPTER 4 Technology	104
4.1 Inputs and Outputs	104
4.2 Describing Technological Constraints	106
4.3 Examples of Technology	108
4.4 Properties of Technology	110
4.5 Long Run and Short Run	111
CHAPTER 5 Cost and Revenue	118
5.1 Cost Minimization	118
5.2 Returns to Scale and the Cost Function	124
5.3 Long Run and Short Run Costs	130
5.4 Fixed and Quasi-Fixed Costs	134
5.6 Sunk Costs.	140
CHAPTER 6 Profit under perfect and imperfect markets	152

6.1 Profits: Short-run and long-run profit maximization	152
6.2 Comparative Statistic	155
6.3 Profit Maximization and Returns to Scale (concerning production technology and profits)	159
CHAPTER 7 Monopoly	168
7.1 Maximizing Profits	168
7.2 Linear Demand Curve and Monopoly	171
7.3 Markup Pricing	174
7.4 Inefficiency of Monopoly	175
7.5 Deadweight Loss of Monopoly	177
7.6 what causes Monopolies?	180
CHAPTER 8 Monopoly Behavior	188
8.1 Price Discrimination	188

8.2 First-Degree Price Discrimination	193
8.3 Second Degree Price Discrimination	199
8.4 Third-Degree Price Discrimination	204
8.5 Bundling	208
8.6 Two-Part Tariffs	213
8.7 Monopolistic Competition.	217
CHAPTER 9 Factors Market	228
9.1 Introduction to the market of factors of production,	228
9.2 Demand and supply curves	230
9.3 Derivation of the derived demand curve	234
9.4 Market Equilibrium	237
9.5 Monopsony	241